



HS 551: Financial Management

Course Code	HS 551
Course Name	Financial Management
L-T-P-C	3-0-0-3
Prerequisites	HS205 Financial Accounting or with instructors approval
Intended for	PhD/Masters/BTech 3rd and 4th years
Distribution	Discipline Elective for MA in Development Studies and free elective for others
Approval	25th BoA (Jul 2018); 17th Senate (Aug 2018)

Course Contents

- **Introduction to Finance Function** Corporate form of business, Reading financial statements, Financial decision making, Profit maximization versus wealth maximization debate, Time value of money, Interest rates, Term structure and yield curve [6 Lectures]
- **Investment Decisions** Valuations of projects and firms, Rules for investment decision making, Free Cash Flow calculation, Valuation of shares and bonds [8 Lectures]
- **Risk and Return** Introduction to capital market and risk pricing, Capital asset pricing model, Estimation of cost of capital: Cost of equity and debt [6 Lectures]
- **Financing Decisions** Capital structure in perfect and imperfect markets, implication of debt and taxes on capital structure, Financial Distress, Managerial Incentives [6 Lectures]
- **Dividend Decisions** Payout process and policies, Dividend versus share repurchase, Payout versus retention, Signaling with payout, Taxes and dividend [6 Lectures]
- **Short Term Financial Decisions** Short term financial planning: Tools for working capital management, cash management and inventory management [4 Lectures]
- **Strategic Financial Decisions** Initial public offers, Strategic alternatives in Mergers and acquisitions, Debt Securitization, Corporate restructuring, Corporate governance [6 Lectures]

Text Books

1. Berk, DeMarzo and Thampy, **Financial Management**, Indian Subcontinent Edition, Pearson Education (India), 2010

References

1. Prasanna Chandra, **Financial Management: Theory and Practice**, 8th Edition, McGraw Hill Education (India), 2012
2. Kester, Ruback and Tufano, **Case Problems in Finance**, 12th Edition, McGraw Hill, 2008
3. Robert F. Bruner, **Case Studies in Finance: Managing for Corporate Value Creation**, McGraw Hill International Edition, 2006